



EAC

EAST AFRICAN COMMUNITY



GUIDE FOR INVESTORS

EAST AFRICAN COMMUNITY INFORMATION GUIDE FOR INVESTORS

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EAST AFRICAN COMMUNITY INFORMATION GUIDE FOR INVESTORS



EAC Secretary General, Amb. Juma Mwapachu

MESSAGE FROM THE SECRETARY GENERAL

The East African Community Secretariat is pleased to introduce the first edition of the EAC Guide for investors, featuring investment opportunities, and efforts by the Secretariat and Partner States to create an enabling environment for both local and foreign investments to thrive.

Recognizing the need to strengthen investor confidence and position the private sector as the engine of economic growth, EAC is continuously supporting Partner States to undertake economic reforms. The Partner States have in turn made major milestones to support the Community particularly through various policy initiatives that have been enumerated in this guide.

East Africa, your premier investment destination, aims to boost pride, dignity and confidence of her people and strengthen and consolidate their relations with the rest of the world.

The content of this information guide is intended for general information only. Investors are strongly advised to contact Investment Promotion Agencies in Partner States for all facts relevant to their circumstances before making any decision.

In some instances specific information on partner states, particularly in investment opportunities could not be obtained. This will however be catered for in subsequent editions. EAC invites professionals to provide input in improving the content of this publication for such future initiatives.

We hope that this guide will give you an opportunity to visit and explore our beautiful Community understand our challenges, discover our strengths, opportunities and finally, enable you to come and grow with us, and invest in East Africa, Our Community.

EAST AFRICA COMMUNITY

History

In the past, Kenya, Tanzania and Uganda have enjoyed a long history of cooperation under successive regional integration arrangements. These have included the Customs Union between Kenya and Uganda in 1917, which the then Tanganyika later joined in 1927; the East African High Commission (1948-1961); the East African Common Services Organisation (1961-1967); the East African Community (1967-1977) and the East African Cooperation (1993-2000). Following the dissolution of the former East African Community in 1997, the Member States negotiated a Mediation Agreement for the Division of Assets and Liabilities, which they signed in 1984.

Introduction

The East African Community (EAC) is the regional intergovernmental organization of the Republics of Burundi, Kenya, Rwanda, Tanzania and Uganda, with its headquarters in Arusha, Tanzania. The Treaty for Establishment of the East African Community was signed on 30th November 1999 and entered into force on 7th July 2000 following its ratification by the Original 3 Partner States – Kenya, Uganda and Tanzania. The Republic of Rwanda and the Republic of Burundi acceded to the EAC Treaty on 18th June 2007 and became full Members of the Community with effect from 1st July 2007.

Aims and Objectives

The EAC aims at widening and deepening co-operation among the Partner States in political, economic and social fields for their mutual benefit. To this extent, the EAC countries established a Customs Union in 2005 and are working towards the establishment of a Common Market by 2010, a Monetary Union by 2012 and ultimately a Political Federation of the East African States.

The EAC Treaty

The Treaty establishing the East African Community was signed on 30 November 1999 and came into force on 7 July 2000 upon ratification by the three partner states: Kenya, Tanzania and Uganda. Burundi and Rwanda applied for membership in the Community in 2002.

The EAC Secretariat

The EAC Secretariat is the executive arm of the Community. Its key offices are the Secretary General, two Deputy Secretaries General and the Counsel (the principal legal adviser) to the Community. The functions of the Secretariat include initiating, receiving and submitting recommendations to the Council; forwarding bills to the Assembly through the Co-ordination Committee; initiating studies and research; and implementing and monitoring programmes that contribute to achieving Community objectives. The Secretariat is also the custodian of Community property.

Region and People

The Community has a combined population of 125 million, land area of 1.85 million sq kilometers and a combined GDP of \$ 44 billion.

The people of East Africa comprise many ethnic groups, including the Bantus, Nilotes, Hamites and Cushites. The dominant religions are Christianity and Islam. Other religions include Hinduism and traditional African religions. Kiswahili, which is widely spoken, is a Bantu language with significant word borrowings from Arabic, Persian and European languages. Many local languages are also spoken.

Table 1: East African Community at a glance

Official name	East African Community (EAC)
Member States:	Republique du Burundi; Republic of Rwanda; Republic of Kenya; United Republic of Tanzania; Republic of Uganda.
Heads of States	Burundi: President Pierre Nkurunziza Rwanda: President Paul Kagame Kenya: President Mwai Kibaki Tanzania: President Jakaya Kikwete Uganda: President Yoweri Kaguta Museveni
Secretary General of the EAC:	Amb: Juma Volter Mwapachu
Main institutions of the EAC:	Summit; Council of Ministers; East African Court of Justice; East African Legislative Assembly; Secretariat.
Surface area:	1.85 million sq. km
Population:	125 million
GDP:	US\$ 44 billion
Currency:	Burundi: Francs Kenya: Kenya Shilling (KSh) Rwanda: Francs Tanzania: Tanzania Shilling (TSh) Uganda: Uganda Shilling (USh)
Official language:	Kiswahili, English and French (Rwanda & Burundi)
Principal religions:	Christian and Islam
Time zone:	GMT + 3
Climate:	Climatic conditions Vary from tropical to temperate, depending on elevation. Two rainfall seasons: the long rains, from late March to early May, and the short rains, from late October to early December.
Capital cities:	Burundi: Bujumbura Rwanda: Kigali Kenya: Nairobi Tanzania: Dar es Salaam Uganda: Kampala

THE ECONOMY

Since the 1980s, the EAC countries have undertaken comprehensive economic reforms aimed at reducing direct government intervention in the economy and stimulating the growth of the private sector, recognized as the engine of economic growth.

These reforms, implemented in the form of structural adjustment programmes have generally enabled the private-sector to thrive.

HIGHLIGHTS OF THE EAC ECONOMY

Africa's economic growth is estimated to have increased marginally from 5.6 per cent in 2006 to 5.7 per cent in 2007. Sub-Saharan Africa recorded a growth of 6.1 per cent in 2007 which was higher than 5.7 per cent reported in 2006.

Agriculture is the one of the leading economic sectors in the EAC. It provides a livelihood to about 80% of the population and accounts for about 44% to the GDP in Burundi and Tanzania, 30% in Uganda, 24% in Kenya and 38% in Rwanda.

The services sector has been growing strongly, particularly because of the increase in the tourism, construction, and ICT sectors.

The informal sector plays a significant role in all the EAC countries. **Trade** –Major exports include coffee, tea, cotton, horticulture, fruits and vegetables

Infrastructure and utilities - The East African transport infrastructure consists of road and rail networks, airports, oil pipelines, and inland lake and maritime transport. The utilities serve the EAC as well as neighbouring countries.

Energy – The existing regional power distribution system is as follows:

- Kenya - Uganda power grids interconnected through a 132kV double circuit line.
- Tanzania and Uganda have a cross border supply through a 132kV line.
- Kenya and Tanzania have a cross border supply through a 33kV line.
- Rwanda and Burundi power grids are interconnected through a 70kV line

The Telecommunications sub-sector is one of the fastest-growing in the region mainly through the advent of mobile telephony and wide use of internet.

Water, sewerage and health services - EAC Partner States have undertaken various measures to ensure access to safe drinking water within a reasonable distance for their citizens, mainly through public private partnerships.

The EAC road network consists of rural feeder roads, trunk roads joining major cities and towns, and urban and suburban roads and highways serving mainly the urban areas and their environs.

Air transport - The EAC has eight international airports: Bujumbura International Airport (BJM) in Burundi; Jomo Kenyatta International Airport (JKIA), Mombasa International Airport (MIA) and Eldoret International Airport in Kenya; Dar es Salaam International Airport (DIA), Kilimanjaro International Airport (KIA) and Zanzibar International Airport (ZIA) in Tanzania; and Entebbe International Airport in Uganda. Other smaller regional airports and several airstrips handle domestic charters.

Railways - Privatization of the railway sector in East Africa is underway. The railway systems are owned and operated by government parastatals: the Kenya Railways Corporation (KRC), the Tanzania Railways Corporation (TRC) and the Uganda Railways Corporation (URC).

Waterways and ports – The principle seaports in the region consist of the ports of Mombasa in Kenya and Dar es Salaam, Mtwara, and Tanga in Tanzania. The ports are managed by government parastatals: the Kenya Ports Authority (KPA) and Tanzania Harbours Authority (THA). Freight and passenger services are offered in Lake Victoria and other lakes in the region by both governments and investors.

Education – All EAC Partner States have well-developed public education institutions at the primary, secondary and tertiary levels, as well as a number of private institutions. The language of instruction in Kenya and Uganda is English at all levels, while in Tanzania it is Kiswahili at the primary level and English at the secondary and tertiary levels. English and French are used in Rwanda and Burundi. In 2000, the partner States approved a structure for the revitalization of the Inter-university Council for East Africa (IUCEA). Each country has its own labour laws and regulations, which stipulate the terms of employment.

The financial sector - Each Partner States has a central bank, commercial banks, non-bank financial institutions, mortgage companies, insurance companies, development finance institutions, building societies and foreign exchange bureaux.

Capital markets - Capital Markets are regulated by state agencies. In Kenya, it is the Capital Markets Authority (CMA), in Tanzania the Capital Markets and Securities Authority (CMSA) and in Uganda the Capital Markets Authority (CMA). In addition to performing regulatory and supervisory functions, the authorities license brokers and investment advisers.

Interest rates and foreign exchange - Since the liberalization of their financial sectors, the EAC countries have had floating exchange-rate regimes.

Taxation - Taxes applicable to business entities include corporate, withholding and value-added taxes. The countries have double taxation arrangements with major trading partners.

Natural resources and the environment - The EAC partner States have agreed to cooperate in joint management and sustainable utilization of natural resources within the Community and have already signed an MOU to that effect.

POLICY INITIATIVES FOR NATIONAL DEVELOPMENT

At the Community level, the EAC Development Strategy has set out the priority programmes for the region for the period 2001–2005. These focus on macroeconomic cooperation; trade liberalization and development; cooperation in infrastructure; the development of human resources, sciences and technology; and cooperation in legal and judicial as well as political affairs.

The Government of Burundi set up The Economic and Social Council, a consultative and advisory body with competence in all areas related to economic and social development. Burundi's Poverty Reduction Strategy Paper (PRSP) launched in 2006 sets out bold poverty reduction objectives consistent with the government's 2005-2010 priority program and the Millennium Development Goals (MDGs).

In Kenya, the Government formed the National Economic and Social Council (NESC) in 2004, as an advisory body mandated to provide timely, accurate and independent economic and social advice with a view to improving the management of the economy. The Kenya Vision 2030 is anchored on three pillars:

- Economic – Sustained economic growth of 10% per annum
- Social – A just and cohesive society enjoying equitable social development in a clean and secure environment
- Political – Issue based, people centred, results oriented and accountable democratic political system.

The Government of Rwanda development roadmap, Vision 2020, identifies six 'pillars' on growth expectations namely: the reconstruction of the nation; an efficient State that unites and mobilizes the people; human resource development; the development of basic infrastructure; the development of entrepreneurship and the private sector; and the modernization of agriculture and animal husbandry.

Tanzania, under its Development Vision 2025, has identified the key objectives as achieving macroeconomic stability, attaining high levels of domestic saving and investment, broad-based human-resource development, and sustainable economic growth. It is also implementing its Poverty Reduction Strategy, which is aligned with the Millennium Development Goals (MDG) of the United Nations. Private sector concerns are also addressed through the Tanzania National Business Council.

According to the Uganda Poverty Eradication Action Plan (PEAP) of 2000, the highest priorities for medium-term expenditure are security, roads, agricultural research and extension, primary education, primary health, and water and sanitation. A Presidential Investor's Roundtable chaired by the Country's President is in place to ensure that government policies keep the private sector at the centre.

THE PRIVATE SECTOR IN THE EAC

The EAC recognizes the private sector as the engine of economic growth. This is squarely anchored in the Treaty establishing the community. Each Partner State has undertaken various initiatives to create an enabling environment for the private sector to thrive. The partner states have developed an EAC Private Sector Development Strategy which is being implemented by each member. The key private sector organisations that seek to address concerns of the business community include the following:

The East African Business Council

At the Community level, the East African Business Council (EABC) is the formal apex business body. It was established in 1997 to represent the interests of the region's private sector in the EAC integration process. EABC's more specific objectives include the promotion and maintenance of a single market and investment area in East Africa and the maintenance of an institutionalized interaction with the EAC and its Partner States. EABC has a large membership in the region in various sectors including manufacturing, ICT, Tourism, Banking, media among others.

It currently has an observer status in the EAC.

The East African Chamber of Commerce, Industry and Agriculture

The East African Chamber of Commerce, Industry and Agriculture (EACCIA) is an organization formed and owned by the three national Chambers, namely, the Kenya National Chamber of Commerce and Industry (KNCCI), the Uganda National Chamber of Commerce and Industry (UNCCI) and Tanzania Chamber of Commerce, Industry and Agriculture (TCCIA). Its main objective is to lobby for the creation of a conducive environment for cross border trade and investment within the context of the East African Customs Union.

Eastern Africa Association

The Eastern Africa Association (EAA) was established in 1964 to facilitate foreign investors' participation in the economic development of Eastern Africa. It is headquartered in London and acts as a channel of communication between foreign investors and Eastern African Governments. It interprets the policies and objectives of Governments to its members and, in turn, explains the views and needs of investors, prospective investors and foreign businesses, generally to Governments.

National associations

At the national level, a number of private sector associations have been established. These include, Chambre de commerce et D'Industrie du Burundi, the Kenya Private Sector Alliance (KEPSA), the Rwanda Private Sector Federation (RPSF), the Tanzania Private Sector Foundation (TPSF) and the Private Sector Foundation of Uganda (PSFU). These associations include addressing cross-cutting sectoral concerns and facilitating dialogue with their Governments.

A number of sector-specific associations have also been set up mainly to collect and disseminate information to members, provide training and marketing services, and lobby the Government on behalf of their members. Among the most influential of these associations are the Kenya Association of Manufacturers (KAM), the Confederation of Tanzania Industries (CTI) and the Uganda Manufacturers Association (UMA).

TRADE

Regional trade integration is a cornerstone of EAC Partner States' trade policies. This involves, among other initiatives, strengthening of public institutions and private sector organizations involved in export promotion. (Market size and access).

- The internal EAC market has about 125 million consumers.
- The Common Market for Eastern and Southern Africa (COMESA) comprises 20 member States with a population of over 400 million.
- The Southern African Development Community (SADC) was established in 1992 and is now composed of 13 Member States. Tanzania is a member of SADC, whereas Rwanda, Kenya Uganda and Burundi are not but in COMESA.
- Burundi, Rwanda, Tanzania and Uganda are covered by the EU's Everything But Arms (EBA) initiative, under which all products from LDCs except arms and ammunitions have preferential access to the EU market.
- Together with other sub-Saharan African countries, the EAC Partner States also qualify for duty-free access to the US market under the African Growth and Opportunity Act (AGOA).
- Products from EAC countries can access various markets in the developed world through the Generalized System of Preferences (GSP), which offers preferential treatment to a wide range of products originating in developing countries.
- Membership in the African, Caribbean and Pacific States (ACP) and the Generalized system of Preferences (GSP) enables products from Partner States to qualify for preferential tariffs on exports to member countries.
- Burundi is a member of the Economic Community of Central African States which aims at establishing a Central African Common Market

Table 2: Regional Exports

Uganda	Kenya	Tanzania	Rwanda	Burundi
Coffee	Tea	Coffee	Tea	Coffee
Tea	Horticulture	Cotton	Coffee	Tea
Fish	Coffee	Minerals	Tungsten & Tin ore	Sugar
Cocoa	Petroleum products	Tea		Cotton
Spices	Fruits	Manufactured Goods		
Cotton	Vegetables	Tobacco	Fruits	
Horticulture	Cement	Cashew Nuts	Vegetables	
Fruits	Sisal	Cloves		
Vegetables		Sisal		
		Other: gold, diamonds, honey, live birds, beeswax etc		

Table 3: Regional Imports

Uganda	Kenya	Tanzania	Rwanda	Burundi
Capital Goods(19%)	Tea	Coffee	Tea	Coffee
Tea	Horticulture	Cotton	Coffee	Tea
Fish	Coffee	Minerals	Tungsten & Tin ore	Sugar
Cocoa	Petroleum products	Tea	Tin ore	Cotton
Spices	Petroleum products	Petroleum products	Pyrethrum	Hides
Cotton	Vegetables	Tobacco	Fruits	
Horticulture	Cement	Cashew Nuts	Vegetables	
Fruits	Sisal	Cloves		
Vegetables		Sisal		
		Other: gold, diamonds, honey, live birds, beeswax etc		

Among measures taken at the Community level to enhance trade include the following:

- The Customs Union Protocol signed in March 2004 came into force upon ratification by the then three member countries and became effective on 1 January 2005. The objectives of the Customs Union include furthering the liberalization of intra-regional trade in goods; promoting production efficiency in the Community; enhancing domestic, cross-border and foreign investment; and promoting economic development and industrial diversification.
- Trade Facilitation - The Partner States have agreed to cooperate in simplifying, standardizing and harmonizing trade information and documentation so as to facilitate trade in goods.
- Anti-dumping measures - The Community has developed anti-dumping regulations.
- Competition Policy and Law – EAC already has in place EAC Competition Policy and Law currently being implemented by the Partner States with an aim to deter any practice that adversely affects free trade within the Community.
- Re-export of goods - Re-exports are to be exempted from the payment of import or export duties.
- Non-tariff barriers to trade - Under Article 13 of the Customs Union Protocol, the EAC Partner States agree to remove all existing non-tariff barriers to trade and not to impose any new ones.
- Standards and measures - Under Article 81 of the Treaty Establishing the Community, the EAC Partner States recognized the importance of standardization, quality assurance, metrology and testing for the promotion of trade and investment and consumer protection, among other things.

EXPORT PROMOTION ORGANISATIONS

Export Promotion Council

The Export Promotion Council (EPC) is Kenya's premier institution in the development and promotion of export trade. Established in 1992, EPC's primary objective was to address bottlenecks that were facing exporters and producers of export goods and services with a view to increasing the performance of the export sector. [www.epckkenya.org].

The Board of External Trade (BET) of Tanzania is dedicated to establishing global business partnership through organising and managing international and specialised trade fairs, solo exhibitions, product and market research, prospect development, trade missions, buyer-seller meetings and contact marketing programmes. BET gives out regular trade information and offers consultancy services to producers, exporters and importers to enable them to effectively participate in the global market place [www.bet.co.tz]

The Uganda Exports Promotions Board (UEPB) is a public trade promotion organization which operates under the Ministry of Tourism, Trade and Industry. UEPB's mission is to facilitate the development, diversification, promotion and co-ordination of all export related activities that lead to export growth on a sustainable basis. [www.ugandaexportsonline.com]

Trade promotion bodies from Kenya, Tanzania and Uganda maintain a web portal facilitated by the Center for the promotion of imports from developing countries (CBI) from The Netherlands. [www.eacexport.com]

COME AND GROW WITH US - INVEST IN EAST AFRICA, OUR COMMUNITY

WHY INVEST IN THE EAC

- Market access to about 125 million people.
- Combined GDP size of about US\$ 44 billion.
- The world's fastest reforming region in terms of business regulation.
- Simplified investment procedures and one stop centre facility provided by national investment promotion agencies.
- Generous incentives offered.
- Vibrant and upcoming capital and securities market.
- High level of intra regional trade and cross-border investments.
- Numerous investment opportunities traversing all sectors.
- Abundant labour force – educated, trained, mobile, skilled and enterprising.
- English is widely spoken. Rwanda and Burundi are bilingual (French & English).
- Insurance against non commercial risk by Multilateral Investment Guarantee Agency (MIGA) and Africa Trade Insurance Agency (ATIA).
- Sanctity of private property guaranteed on national constitutions.
- Stable political environment and high level of governance and democracy.
- Consumer loyalty
- Cordial hospitality and warmth of the people.

INVESTMENT FRAMEWORK

An EAC Model Investment Code was drafted in 2002. It is not a binding legal instrument but rather a model whose features the EAC Partner States may incorporate into their national laws.

Investment and Private Sector Promotion as contained in the third EAC Development Strategy (2006 – 2010); aims to

- achieve free movement of people, capital, labour, services and right of establishment and residence;
- promote balanced and competitive industrial/manufacturing sector in the region;
- promotion of participation of the citizenry (civil society, women and private sector) and having them fully aware of the EAC affairs; and
- Strengthen relations with other regional and international organizations.

INVESTMENT PROMOTION AGENCIES IN EAST AFRICA

The Burundian government is in the process of establishing an Investment and Export Promotion Agency in the near future. However, an Investment Code has been in effect since 1987 and has been repeatedly updated.

The Kenya Investment Authority (KenInvest) was established by the Government of Kenya through the Investment Promotion Act, 2004, with the mandate of promoting and facilitating private investments in Kenya for both local and foreign investors. KenInvest is a successor to the Investment Promotion Centre that was formed in 1986 after operating as an investment advisory Department in the Ministry of Finance since 1982. [www.investmentkenya.com]

Rwanda Investment Promotion Agency was established in 1998 with a mission to increase investment in Rwanda. In 2004, the agency acquired a new name - Rwanda Investment and Export Promotion Agency (RIEPA). This is because the Government firmly believes in export oriented production as the ultimate answer to past failures of the country's economy. [www.rwandainvest.com]

The Uganda Investment Authority (UIA) is a semi-autonomous government agency operating in partnership with the private sector and government to drive national economic growth and development. The Authority was established by the Investment Code Act, Cap 92 Revised Edition 2000 Laws of Uganda. [www.ugandainvest.com]

Tanzania Investment Centre (TIC) was established in 1997 by the Tanzania Investment Act to be the primary agency of government to coordinate, encourage, promote and facilitate investment in Tanzania. [www.tic.co.tz]

The government of Zanzibar enacted a new Investment Code in 2004 to establish a one stop centre, the Zanzibar Investment Promotion Agency (ZIPA) as a focal point for investment promotion and facilitation in Zanzibar. [www.zanzibarinvest.org]

Duty drawback schemes

Drawback of import duties upon materials used exclusively in the production of goods exported to a third country is provided for in the Customs Union.

Duty and VAT remission schemes

The Customs Union Protocol provides for duty and VAT remission schemes to support export promotion.

Manufacturing Under Bond (MUB) schemes

Within the Customs Union framework, the Partner States may facilitate manufacturing-under-bond schemes within their respective territories. Such schemes would allow imported goods to be used for processing or manufacture.

Export-processing zones (EPZs)

The Customs Union protocol has spelt out Export Processing Zone Regulations, which are intended to ensure that the Partner States establish EPZs in a uniform fashion and that the implementation process is transparent, accountable, fair and predictable.

To further promote uniformity, the Partner States propose to develop an East African Community Model Export Processing Zones Operational Manual.

Burundi's export processing zones was established in 1993 as part of the overall effort to encourage FDI, export diversification and promotion of non traditional exports.

Kenya inaugurated her Export Processing Zones program in 1990 as part of the Export Development Program (EDP). The scheme is managed by a state agency, the Export Processing Zones Authority. [www.epzakenya.com]

Rwanda legislation provides for free economic zones of three kinds: export-processing zones, single enterprise export-processing zones and free trade zones. [www.rwandainvest.com]

Tanzania enacted the Export Processing Zones Act in April 2002, which gives the export processing zones authority (EPZA) the mandate to facilitate and oversee the implementation of the programme throughout the country.

Uganda has gazetted over 1000 hectares of prime industrial land to be developed into fully serviced industrial estates and export processing zones. The Uganda Investment Authority holds the government interest in the proposed project. [www.ugandainvest.com]

Free ports

The Customs Union Protocol provides for the establishment of free ports within the Community. The functions of these ports include the promotion and facilitation of trade, the provision of facilities such as storage, warehouses and simplified customs procedures, and provisions for the establishment of international supply-chain centres, which would enhance the Community's international competitiveness.

Harmonization of duty-exemption regimes

The Partner States have agreed to harmonize duty exemption schemes and adopt a single list of exemptions, which is to be specified in the customs law of the Community.

GUARANTEES TO INVESTORS

Each EAC Partner State offers guarantees to investors as provided for in the constitution, its investment laws and agreements. The laws in all partner States protect property rights and facilitate the acquisition and disposal of property, including intellectual property. Each country is also a member of the International Centre for the Settlement of Investment Disputes (ICSID) and the World Bank's Multilateral Investment Guarantee Agency (MIGA). Investments are guaranteed against nationalization and expropriation. Expropriation of private property is permitted only when due process is followed and prompt and adequate compensation is offered. Investors in the Community enjoy national treatment under the Customs Union Protocol.

DISPUTE SETTLEMENT

At the EAC level, Community law establishes various means for the settlement of disputes arising either between the Partner States or between investors and Partner States. The national laws of the Partner States provide appropriate procedures for the settlement of disputes through litigation, negotiation or arbitration.

MAJOR INVESTMENT OPPORTUNITIES

The Community offers numerous investment opportunities covering a wide range of sectors. Opportunities specified in this chapter are not exhaustive. Investors are requested to contact Investment Promotion Agencies in Partner States for detailed information and updates on new developments.

AGRICULTURE

Opportunities for large-scale commercial farming exist in the region for a wide variety of food and cash crops. The key investment opportunities are listed below:

1. Tea

Tea is a major export commodity in the EAC. It is also a major employer particularly in farming, marketing, transport and retailing.

Opportunities for investment exist in tea plantations, processing and packaging for both domestic and export markets especially under Manufacturing Under Bond and Export Processing Zone schemes.

In this sector specific investment opportunities in Partner States are as follows:

Burundi

Burundi is in the process of privatising production and increasing the area under cultivation.

Kenya

- Only about 2% total tea exports are value added hence an enormous value addition and consequent branding opportunity exists.
- Kenya primarily produces black CTC teas hence the potential of diversification to other products namely green teas, orthodox teas, ready to drink teas (juice tea), instant tea, and organic tea among others.
- Production of specialty teas for specific niche markets and direct sales.

Rwanda

- privatization tea factories at Gisakura, Kitabi, Mata, Mulindi and

- Shagasha;
- construction of a new CTC factory in the Karongi district in western Rwanda;
- construction of a new factory at Gatware in the Nyamasheke district in western Rwanda;
- construction of a new factory at Mushubi in the Nyamagabe district in western Rwanda;

Tanzania

Opportunities exist in the opening up of new plantations in Mbeya, Iringa, Kagera, Mara and Tanga regions

Uganda

Tea production can be increased by planting high yielding varieties and use of fertilizers for maintenance of soil fertility.

2. Coffee

Coffee is another significant foreign exchange earner in the EAC. The region produces high quality Arabica and Robusta coffees. Investment potential exists in the following:

- growing of Arabica and Robusta coffee;
- coffee processing and packaging;
- manufacture of coal from coffee husks;
- producing for specialty markets such as the organic coffee market;
- production of washed Robusta coffee, which has a higher earning potential as compared with dry-processed coffee; and,
- coffee roasting.

In this sector specific investment opportunities in Partner States include:

Burundi

Export of Arabica and Robusta coffee

Tanzania

Acquisition of existing coffee farms in coffee growing areas such as Kilimanjaro, Arusha, Tanga Kagera Ruvuma, Mbeya, Iringa & Rukwa.

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- In this sector specific investment opportunities in Partner States include:**

Burundi

Export of Arabica and Robusta coffee

Tanzania

Acquisition of existing coffee farms in coffee growing areas such as Kilimanjaro, Arusha, Tanga Kagera Ruvuma, Mbeya, Iringa & Rukwa.

Opening up new large-scale coffee estates in Ruvuma, Mbeya, Iringa, Kigoma, Mara, Ukerewe & Manyara with emphasis on organic coffee.

Uganda

Potential exists in processing coffee into finished products for local, regional and international markets.

3. Rice

Opportunities exist in large-scale rice production, processing, packaging and branding for the local and regional markets. The Lake Victoria Basin offers potential for rice production.

4. Wheat

Opportunities exist in production, milling, flour packaging and marketing of wheat. Tanzania offers investment opportunities in large-scale production of wheat in Arusha, Manyara, Iringa, Mbeya, Kigoma, Rukwa and Kilimanjaro. Wheat growing areas in Kenya include the scenic Rift Valley regions of Uasin Gishu, Narok, Marakwet, Elgeyo, Londiani, Molo, Nakuru and Timau areas

5. Bananas

Opportunities abound in banana production, banana wine processing and packaging and introduction of new varieties.

Tanzania offers banana production opportunities in Kagera, Kilimanjaro, Morogoro and Mbeya. Uganda has export potential in dessert bananas: Apple bananas (Ndiizi) and Gros Michel bananas (Bogoya). Uganda offers investment opportunities in setting up commercial farms to produce and export apple bananas (Ndiizi) to the European market.

6. Cotton

The demand for cotton has increased recently with the growth of the textile and apparels industry responding to the opportunities provided by the US African Growth and Opportunity Act (AGOA). Potential exists in the following areas:

- Establishment of large scale cotton production farms
- Value addition to lint.
- Expansion and improvement of current cotton farming systems.
- Marketing and exporting of organic cotton
- Pesticide formulators and mixers to control diseases and pests.

7. Sisal

Opportunities exist in the region in sisal spinning and weaving, production of alcohol, particle boards,

biogas and electricity, citric acid, pharmaceuticals, animal feeds, organic fertilizer, handicrafts (various items like bags, dart boards, rugs, doormats, tablemats, curtains), sisal mattresses and padding for fortune and car seats, sisal polishing cloth, buffing cloth for polishing metals in industrial settings; sisal composites in automotive, boat furniture, and in establishment of pulp factories.

8. Food crops and oil seeds

EAC countries produce a wide range of food crops and oil seeds. These include cereals (millet, sorghum, maize, rice) and other grains (beans, pigeon peas, other pulses), which can be produced several times a year. These are consumed in the domestic markets as well as exported to regional markets.

There is investment potential in the production and export of sesame seed, sunflower, seed, groundnuts and cottonseed, pressed organic oils, and sugar, rice and wheat production.

9. Sugar

Opportunities exist in the following areas:

- production of industrial refined sugar;
- provision of loans or credit to the small and medium-scale out growers;
- rehabilitation of sugar plantations and factories; and,
- use of bagasse for electricity generation, production of charcoal briquettes, writing paper & particle board,
- use of molasses for ethyl alcohol production, vinegar & acetic acid production, fertilizer production, livestock feeds supplement, rectified spirits, rum and yeast.

Kenya offers opportunities in construction of new factories in high potential areas such as the Tana River Delta, Busia and Transmara.

Tanzania offers opportunities in the establishment of new sugarcane estates in Coast, Ruvuma, Kagera, Mara, Mbeya, Kilimanjaro and Kigoma regions and in sugar production factories.

10. Groundnuts

In most parts of East Africa, groundnuts are sold in small quantities by small scale vendors. A small amount of processing is done, which produces either roasted and seasoned nuts or peanut butter. There is potential for groundnut processing factories to produce peanut butter, and peanut oil for use in processed foods, cosmetics and paints and finishes.

11. Cashew Nuts

Opportunities exist in cashew-processing industries and marketing particularly in the coastal regions.

12. Pyrethrum

Investment opportunities exist in seed production, plantation farming, and processing of pyrethrin insecticides and pesticides. Pyrethrum extracts refineries can be established for production of paints, medicinal and pharmaceutical preparations such as vaccines, antibiotics and vitamins.

13. Tobacco

Opportunities exist in the establishment of tobacco farms, fuel efficient central curing barns and furnaces, construction of processing factories and production of fertilizers, insecticides and sprayers.

14. Forestry and forestry products

EAC Partner States have large areas of forests and woodlands. Some of these have been gazetted as forest reserves. Some are under plantation forestry while others are under water catchments. Softwood and hardwood plantations offer good opportunities for the establishment of wood-based industries like saw-milling, panel boards, furniture and joinery.

Kenya has one major plant producing paper and paper board from forest products. Investment opportunities exist in the production of paper from other raw materials such as bagasse, sisal waste, straw and waste paper.

Tanzania offers the following opportunities: Resins in Iringa, Mwanza, Ruvuma, Coast, Morogoro, Kagera, Lindi; Gum Arabic in Singida, Shinyanga, Manyara, Arusha, Tabora; vegetable tanning in Iringa, Mbeya, Kilimanjaro, Arusha, Manyara and Tanga.

Uganda offers the following opportunities:

- planting of soft wood plantations for timber and poles
- planting of soft wood plantation for pulp
- Value added products from both hard and soft wood

- Tourism and recreation
- Planting palm trees and processing of palm oil
- planting for medicinal purposes.

15. Apiculture

Natural forests, with their indigenous fauna and flora, offer great potential for the development of an organic honey-processing industry and related products, manufacturing of beekeeping equipment, beeswax processing, the development of bee-pollination based industries and the promotion of lesser-known bee products such as royal jelly, which have a demand in Japan and other developed countries. Opportunities also exist for the provision of services for the certification of organic honey production.

16. Livestock

The livestock sector in the EAC contributes substantially to the member countries' GDP and provides employment, food and foreign exchange. Key export products from the region include hides and skins, dairy products and live animals. There is limited meat-processing in the region. Opportunities for investment in the meat sub-sector include:

- construction of abattoirs that meet international hygiene standards;
- processing of leather;
- processing of meat and its by-products;
- provision of veterinary services;
- rearing of wild animals and the production of game meat (such as ostrich and crocodile farming);
- supply of processing equipment for both small and large scale processors; and.
- provision of financial services, including credit and banking services, in areas where livestock keeping is a major activity.

17. Dairy sub-sector

Cattle reared in East Africa comprise of exotic and traditional-exotic crossbreed. Investment opportunities exist in the following areas:

- processing of dairy products such as powdered milk, ultra-heat-treated (UHT) milk, cheese, butter, yoghurt, ice-cream and flavoured condensed milk;
- supply of processing and packaging equipment for both small and large-scale processors;
- supply of veterinary and animal-breeding services, and animal feeds; and,
- supply of financial services, especially credit to dairy farmers; and the supply of quality accreditation

18. Poultry

Investment opportunities exist in development of hatcheries for the production of chicken for both regional and international markets; commercial poultry production farms; broiler processing plants; production of chicken feed, feeding facilities and pharmaceuticals.

19. Fisheries

The East African region is endowed with some of the largest freshwater lakes in the world, which harbour substantial resources for fishery. Lake Victoria, shared by three EAC partner States: Kenya (6%), Tanzania (49%) and Uganda (45%), covers a surface area of 68,000 km² and the shoreline length is 3,400 km. The lake is home to about 350 species of fish. The commercially important fish species of Lake Victoria are *Lates niloticus* (Nile perch), *Oreochromis* (Tilapia) and *Rastrineobola argentea* (Dagaa). The other species include *Alestes*, *Barbus*, *Clarius*, *Haplochromis*, *Labeo*, *Mormyrus*, *Protopterus*, *Schilbe* and *Synodontis*.

Lake Victoria and other lakes such as Lake Turkana (in Kenya) and Tanganyika (in Tanzania) and Kyoga (in Uganda) ample opportunity in fishing, fish processing and fish by-product processing, as well as in the supply of fishery-related equipment and storage infrastructure such as fishing nets, cooler transporters, processing equipment, packaging materials, and freighters and cargo planes. Other investment opportunities include fish farming (aquaculture) and establishment of accredited testing laboratories.

The EAC coastline extends for 2,104 km, including some 680 km in Kenya and some 1,424 km in Tanzania. The marine resources that can be exploited include crustaceans, molluscs, Demersal fish species, Pelagic fish species, and tuna and tuna-like species. Other investment opportunities include deep-sea fishing, the provision of deep-sea fishing vessels, storage infrastructure, and the processing of marine fish and the related by-products.

HORTICULTURE

The climate, the soil and the existing water supplies in the region provide a base for production of high-quality horticultural produce in a natural environment.

The main export product is cut flowers the and is exported to the EU. Major horticultural produce in the region includes pineapple, passion fruit, papaya, avocado, mango, orange, passion fruit, apples, bananas, raspberries, beans, asparagus, snow peas and chillies.

Opportunities abound in the following areas:

- production and export of horticultural produce (fruits, flowers and vegetables);
- production of propagation materials;
- establishment of soil-analysis services;
- manufacture of greenhouse plastics;
- production of inputs such as fertilizers, herbicides and pesticides;
- production of packaging materials;
- provision of cold-storage facilities as well as air-cargo transport to foreign markets;
- provision of accreditation services to meet market and regulatory requirements.

INFRASTRUCTURE

The EAC Partner States have agreed to develop common policies with respect to infrastructure. The region will also benefit from the NEPAD infrastructure development programme covering transport, energy, ICT, and water and sanitation.

At the national level, each Partner State is implementing restructuring programmes which aim at reducing government involvement in commercial activities and encouraging public private partnerships.

Road transport

To promote regional trade and investment, five major regional road corridors have been identified for development and rehabilitation under the East African Road Network Project (EARNP). The network measures 15,273 km and comprises 8,361 km of main routes and 6,912 km of feeder routes. These corridors will connect the three original Partner States, their areas of production and markets, and other transport nodes including ports, railway stations and airports. Finally the new Partner States will be involved in the network.

Investment opportunities abound in construction, maintenance and rehabilitation of roads, as well as in the construction of bridges. This includes build, operate and transfer (BOT) schemes. EAC member countries aim to develop roads under the East African Road Network Project (EARNP),

Railways

Privatization of the sector is underway in the EAC countries. The Community is in the process of extending the railway line coverage within the region as well as linking the region with neighbouring countries. Rift Valley Railways, a concessionaire from South Africa, assumed control of Kenya Railways and Uganda railways for an initial 25 years.

Opportunities for investment therefore exist in the extension of the railway lines within the region as well as in the rehabilitation of existing lines, wagons and coaches.

Water transport

Investment opportunities abound in passenger transport and freight cargo services, especially on Lake Victoria, Lake Tanganyika (shared between Tanzania, Burundi, the Democratic Republic of the Congo and Zambia), and Lake Nyasa (shared between Tanzania, Malawi and Mozambique). Over 30 million people are involved in fishing, agriculture and trading around Lakes Victoria, Tanganyika and Nyasa. This presents investment opportunities in passenger traffic targeting commercial activities from the commercial city of Mwanza to Bukoba in Tanzania, Port Bell in Uganda and Kisumu in Kenya.

Air transport

The Partner States (CASSOA) are harmonizing civil aviation regulations in the region, to facilitate inter alia the establishment of a regional safety oversight agency; the establishment of a Search and Rescue (SAR) coordination center; the sharing/pooling of personnel, particularly in the area of licensing airworthiness inspectors. The Tripartite Search and Rescue Agreement was ratified in November 2004 and the Secretariat is developing its implementation framework.

Investment opportunities exist in the following:

- modernizing the airport management systems under the Global Navigation Satellite System; supplying security-control-related equipment;
- construction of state-of-the-art passenger terminal facilities;
- strengthening parking aprons; and,
- extending taxiways and rehabilitating the old runways.
- development of selected regional airport in EAC states
- commercialization of airports i.e. establishing duty free shops, export processing zones, airport hotels, business parks, etc.
- air navigation infrastructure i.e. equipment used in air traffic managements, air navigation facilities, weather information facilities and equipments
- aviation training institutions areas, include: flying schools for pilots and air traffic control and management training

Port facilities

The Government of Kenya has made the privatization of port facilities one of its priorities. Kenya's public-sector reform programme places high priority in the privatization of port facilities through transformation of the Kenya Ports Authority (KPA) into a landlord authority, relinquishing most cargo handling and complementary services to the private sector. The same approach is being effected in Tanzania where in May 2000; the Tanzania Harbours Authority was divested and leased to private investors. The National Shipping Agencies (NASACO) also divested its shipping operations, creating opportunities for private operators.

Investment opportunities exist in the following:

- conventional cargo operations (stevedoring of non-bulk liquid containerized cargo);
- container transport (dedicated wagons, locomotives and communication equipment);
- cruise ships;
- dockyard facilities;
- a bunkering pipeline;
- development of other container terminals and ports;
- inland container depots;
- computerization of port operations;
- estate management; and,
- the provision of equipment and gear.
- the provision of handling and storage services for LPG.

Information and Communication Technologies

EAC countries opened the telecommunications sector to investors after adoption of liberalization measures in the 1990s. This has improved communication infrastructure, particularly mobile telephony.

Opportunities abound in the following areas:

- processing accounting data;
- incipient e-business services;
- printing and publishing media and television;
- logistics management;
- ICT infrastructure and training, including extension to rural areas;
- provision of Internet-related hardware and software.
- provision of value-added services in voice and imaging products;
- teleconferencing;
- data capture and processing;
- call centres;
- radio paging;
- broadband wireless Internet services.

Energy

The energy sector in the EAC countries is being restructured to encourage private investors. The EAC Partner States have developed an East Africa Power Master Plan. Every two years, the Partner States organise a petroleum conference to show case investment opportunities in the sub sector.

Burundi is currently seeking investments to construct the following projects:

- 50 MW project for the Rusizi hydropower development.
- 60 MW Rusumo Falls hydropower station (RFHS).

In Kenya, electricity generation, transmission and distribution are handled by two State companies — Kenya Electricity Generation Company (KenGEN) which deals with power generation, and Kenya Power and Lighting Company (KPLC) which handles transmission and distribution. There are now a few independent power producers as well. The government of Kenya will invite both local and international investors to participate in the following projects to help achieve Vision 2030 goals:

1. 140 MW Menengai to- cost US\$336 m
2. 200 MW CNG – cost US\$ 200m
3. 60 MW Mutonga Hydro – cost US\$ 226m
4. 100 MW Marsabit wind- cost US\$ 180m
5. 300 MW coal Plant at Mombasa – cost US\$ 800 m (Feasibility study ongoing)

Rwanda offers opportunities in the energy sector as follows:

- the construction of a hydraulic power station on Nyabarongo river with a capacity of 27.5 MW;
- the construction of a power station at Rusomo falls with a capacity of 61.5 MW;
- the construction of a hydraulic power station at Rusizi with a possible capacity of 82 MW; and,
- the exploitation of methane Gas in Lake Kivu, which has the capacity to support a 700 MW power plant.

In Tanzania, the State-owned Tanzania Electric Supply Company Limited (TANESCO) has a monopoly in the generation, transmission and distribution of electricity in the country, that is now being unbundled. Investors are invited to participate as Independent power producers.

In Uganda, power generation and distribution were concessioned in 2003–2004, while transmission is still the responsibility of the State-owned Uganda Electricity Transmission Company (UETC). An Electricity Regulatory Authority has also been created. Opportunities exist in utilizing untapped energy resources like coal, natural gas, geothermal, solar and hydroelectric energy as well as opportunities arising from privatisation.

Water and sanitation services

The provision of water and sanitation services in the Partner States is gradually being privatized.

In Burundi, the Multi-Sectoral Water and Electricity Infrastructure Project aims to increase people's access to water in peri-urban areas of Bujumbura and improve the quality and reliability of water services in the Bujumbura region

In Kenya, some of these services have already been privatized, with the Nairobi Water and Sewerage Company currently providing water and sanitation management services in Nairobi, with plans to expand its operations to other cities in the country.

Electrogaz, the Rwanda's water utility company has managed to increase water provision to many parts of the country.

In Tanzania, the National Water and Sewerage Corporation (NWSC) is in the process of privatizing its services.

The National Water and Sewerage Corporation (NWSC) of Uganda is conducting trials with contracted private management of operations in Kampala and Jinja and is in the process of identifying the forms of private-sector involvement.

Investment opportunities exist in the Partner States in the provision of potable water, the provision of garbage and refuse disposal facilities, and the provision of waste treatment facilities in all Partner States.

MANUFACTURING

Manufacturing offers a wide range of opportunities in the EAC Partner States. The region is currently a net importer of manufactured products such as machinery and transport equipment. By offering incentives such as zero rating of various raw materials, and through various manufacturing incentive schemes, the EAC Partner States have been trying to promote manufacturing as a way of diversifying their economies.

Textiles and apparel

The EAC Partner States have a history of textile manufacture and are known for the production and export of handpicked cotton. The manufacture of garments has been revitalized since the signing of the African Growth and Opportunity Act (AGOA) in the United States, which allows EAC Partner States, along with other sub Saharan African countries, market access to the United States.

Investment opportunities thus exist in cotton ginning, production of yarn and finished textiles, marketing and trading in cotton and textiles as well as in cut, make and trim (CMT) units. Rwanda offers opportunities in development of sericulture and the silk textile industry.

Iron, steel and other metals

Opportunities exist in the development of nucleus foundry making precision castings that can then be processed into precision components, aluminium cans, high-strength reinforcement bars, ductile iron rolls, casting sand and moulding. Opportunities also exist for investment in the mining of iron ore to supply the existing steel mills, the production of sponge iron for steel mills and the production of steel products.

Vehicle parts and assembly

The number of new motor vehicle registrations in the region has been increasing rapidly over time.

Although some car parts are produced locally, accessories of some of vehicles, especially of European origin, are often lacking in the market. Opportunities exist in the manufacture of components for use by local assemblers and for export to regional markets. Use of bicycles as a mode of transport is widespread in the region, providing opportunities for bicycle assembly.

Electronics

The electronics industry is growing rapidly with a number of firms engaged in assembly, testing, repair and maintenance of electronic goods. Investment potential exists particularly through MUB and EPZ programmes in the production of consumer electronics such as TVs, VCRs, disk drives, etc, telecommunications equipment and support industry items such as cables, cords, die casting, metal plating, etc.

Electrical equipment

Investment potential can be found in the production of motors, circuit breakers, transformers, switch gears, irrigation pumps, capacitors, resistors, insulation tapes, electrical fittings, integrated circuit boards for both regional and international markets.

Plastics

Opportunities exist in all Partner States in the production of plastic articles to meet the domestic demand as well as demand in the broader region.

Chemicals

Investment opportunities can be found in the production of PVC resin from ethyl alcohol, formaldehyde from methanol, melanine and urea, mixing and granulating of fertilizers, cuprous ox chloride for coffee bean disease, caustic soda and chlorine based products, carbon black, activated carbon, precipitated calcium carbonate, textile dyestuff, ink for ball points and gelatin capsules, among other things.

Pharmaceuticals

Investment opportunities exist in the manufacture of drugs for the treatment of various tropical diseases, the provision of modern family-planning services, and the manufacture of medical equipment and sundries (surgical cotton/gauze, sanitary pads, syringes, bandages, infusion syrups, oxygen). The rich biodiversity of the region also provides an opportunity in the processing of herbal medicines. The processing of pyrethrum extracts and the production of vaccines, antibiotics and vitamins also offer investment opportunities.

Beverages

The main beverage production activities in the region include coffee roasting, tea processing, and the production of soft drinks and alcoholic beverages. The region has a competitive advantage in processing these products because it produces most of the raw material used in this industry, including fruits, barley, coffee and tea. Investment in this sector has been increasing, especially in producing soft drinks. The demand for beverages in the region is on the increase. Investment opportunities exist in production, targeting both local and export markets.

Packaging

The packing industry includes all forms of printed paper and plastic packaging, woods, foil and glass packaging. It is a strategic sub-sector as it supports other industries (especially pharmaceuticals, horticultural products, beverages, edible oil, fish, and dairy products) in marketing and distribution generally, as well as in international trade. The developments in the manufacturing sector, especially the production of consumer goods, explain the increased demand for plastic packaging items.

Investment opportunities exist in the production of glass containers (raw material available), tin cans /boxes, corrugated cases (shuffle), cartons and labels, flexible packages, rigid plastics, and thin-walled plastics.

TOURISM

Tourism is an important industry in the EAC countries. Among the principal sources of tourists are the European Union –in particular Germany, the United Kingdom, Italy and France, and the United States. All EAC countries are interested in diversifying the sources of tourism and adding new ones such as the countries of East, South and South-East Asia and the new members of the EU.

Table 11: Tourism in East Africa

Country	Products Offered	Investment Opportunities
Burundi	- Cultural heritage & sites – some of the best dance groups and drumming cultures in the world - National parks and nature reserves.	- Development of cultural sites – Burundi culture is renowned for its drums. - Development of hotels
Kenya	- Animal Viewing “the big five” - Game hunting - The great wildebeest migration - Historical sites - Warm, sandy beaches - Mountain climbing	- Development of domestic tourism. - Development of conference tourism, sports tourism, retirement tourism, eco-tourism, cultural tourism and cruise tourism both on the coast and in Lake Victoria. - Construction of lodges and hotels to cater for the increasing number of tourists.
Rwanda	- Mountain Gorilla Trekking - Nyungwe Waterfalls and National Park - Akagera National Park - Mountain Biking - Flora and Fauna - Bird Watching	- Building new high-standard hotels/lodges/guest houses. - Refurbishing and upgrading the existing hotels, lodges and restaurants in all key tourist destinations. - Building a modern hotel at Nyanza, where the Nyanza Royal palace, the seat of the former kings is situated, to cater to tourists who wish to understand the traditional ways of life during pre-colonial Rwanda. - Creating zoological and botanical gardens in major urban centres such as Kigali, Butare, Ruhengeri and Gisenyi. - Creating boating and water sports facilities on Lake Kivu. - Offering training in leisure and hospitality, hotel management, tour guiding, customer service, etc.
Tanzania	- Viewing wild animals in their natural habitat – Ngorongoro Crater, Serengeti National Park etc - Climbing the highest mountain in Africa - Kilimanjaro - Wildlife Safaris - Hunting - Scuba Diving and other water sports - Relaxing on the clean and azure beaches – Zanzibar and Mafia Island - Visiting Historical sites – Zanzibar and Bagamoyo and learning about cultures of Tanzania	- World class accommodation facilities - hotels, lodges, guesthouses, entertainment and camping facilities. Joint venture opportunities are available in Kilwa, Zanzibar, Mafia, Dar es Salaam, Mwanza, Arusha, Iringa, Kilimanjaro, Selous, Katavi, Saadani, Babati and Bukoba. - Ecotourism in the Eastern Arc mountain ranges of North Pare, the Usambaras, Uluguru and Udzungwa, and the mangrove forests of the Mtwara, Lindi, Coast and Tanga regions. - Hotel development and/or campsites in some of the cultural heritage sites such as Bagamoyo, Pangani, Tabora and Kilwa. - Development of deep-sea fishing, trophy hunting, and, sea and lake cruising. - Training in tourism activities. - Tour operations and agency business. - Investment in manmade tourist attractions like theme parks and gambling resorts - Water transport services along the coastal belt strip and inland waterways.
Uganda	- Murchison Falls where the world longest river - NILE explodes - The snow-capped Ruwenzori mountains - Queen Elizabeth National Park with 100 mammals species and more than 600 bird species - Mount Elgon National Park - Kibale National Park – home to a remarkable 13 primates species	- Innovative tour operations and package programmes targeting national, regional and international visitors); - Cruises on the River Nile; - Cabin ferry services on Lake Victoria; - Schools for the hospitality industry; - High-quality hotel facilities;

MINING

The EAC countries are richly endowed with a variety of mineral resources.

Burundi is well endowed with deposits of nickel, vanadium, cassiterite, colombo-tantalite, gold, uranium, rare earth oxides, peat, cobalt, copper, platinum, hydropower, niobium, tantalum, gold, tin, tungsten, kaolin and limestone

Kenya has four belts of minerals —the gold green stone belt in western Kenya, which extends to Tanzania; the Mozambique belt passing through central Kenya, the source of Kenya 's unique gemstones; the Rift belt, which has a variety of resources including soda ash, fluorspar and diatomite; and the coastal belt, which has titanium.

Rwanda has deposits of Cassiterite, a tin ore, which is a very important ingredient of electronics' components. The mineral is also found in Walikale, in DRC's Northern Kivu Province, a part that borders Rwanda in the east. Other potentially profitable minerals include Wolframite, Columbite-tantalite, Amblygonite and Tantalite (Coltitan). Gold has also been explored in some parts of the country. Some semi-precious stones including tourmaline, topaz, corundum, chiasolite, amethyst, opal and agate have been discovered.

Tanzania has a wide variety of minerals, including diamonds, gold, base metals, gemstones (including the unique Tanzanite) and a variety of industrial minerals such as phosphates, mica, gypsum, limestone, graphite, quartz and vermiculite, that have a wide range of applications in ceramics, pottery, brick and tile making, and glass manufacture, nickel, cobalt, copper, diamonds, gemstones, apatite, niobium, iron ore and coal.

Uganda also has a variety of mineral resources, including copper, cobalt, tin, iron ore, tungsten, beryllium, limestone, phosphates, salt, clays, feldspar, diatomite, silica sand, glass, sand gravel, and construction materials such as granites and gneisses.

Investment opportunities exist in mining stone for the construction and building industry, phosphates for agriculture, salt for domestic and chemical uses, iron ore for the iron and steel industry, kaolin for leather tanning and pharmaceuticals, and silica sand and trona for glass manufacture, exploration and development of mineral deposits including oil, gold, copper, cobalt sulphide and hematite iron.

Oil and gas

In Burundi, recent seismic and magnetic surveys have indicated that there may be oil under Lake Tanganyika and the Rusizi river plam.

Kenya's petroleum potential lies in four largish sedimentary basins: Anza, Mendera, Tertiary Rift and Lamu.

In Rwanda, there is hydrocarbon potential existing in North Western Rwanda and deep under Lake Kivu.

In Tanzania, significant gas discoveries have been made on the coastal shores of Songo Songo Island and Mnazi Bay, and commercial exploitation for power generation began in July 2004. Petroleum seismic coverage in the public domain is approximately 52,000 kms, 52% offshore and 48% onshore, including the interior rift basins.

In Uganda, a number of mining companies have taken up licenses in the mining sector. Oil was finally discovered in Western Uganda in 2006 after 17 years of exploration. This discovery is set to boost the country's economy significantly.

The EAC facilitated the East African Petroleum Conference in 2005 & 2007. Among resolutions made include the need to develop the Partner States' petroleum potential by harmonizing policies and legal and fiscal regimes pertaining to petroleum exploration.

BUILDING, CONSTRUCTION AND HOUSING

Quality engineering, building and architectural design services are readily available in the region. With an increase in population, investment opportunities exist in the provision of low-cost housing to cater to the needs of growing populations in urban and peripheral areas; the manufacture of prefabricated concrete systems and other fittings for the building industry; and the processing of non-metallic minerals to make sanitary fittings, tableware, floor and wall tiles, glass, lime, cement, glazes, etc. and, the provision of mortgage services, although land legislation can make it difficult to engage in mortgage lending.

FINANCIAL SECTOR

Financial Services

The partner States are harmonizing their banking acts so as to harmonize and eventually integrate their financial systems

Investment potential exists in establishing commercial banks as well as other services like brokerage, investment consultations, asset valuation & sales and bank assurance, asset management, real-estate financing, lease finance, agricultural finance and advisory services. The rapid growth of the informal sector offers opportunities in the provision of credit and related service. Demand for insurance services has also risen. Specific opportunities in Partner States is as follows:

Burundi

- Financial sector is insufficient for the economy. Investors are welcomed in all areas.

Kenya

- Investment in the SME loan market.
- Building capacity in commercial banks to serve smaller enterprises

Rwanda

- Establishment of more Commercial & Agricultural banks in rural areas.
- Competitive loan facilities to agricultural sector and investors in the industrial sector.
- Investment banking for advisory services and wholesale banking, including Trust funds & Pension funds.
- Promoting or arranging underwriting of issuance of securities.
- Housing Bank Sub-sector in mortgage financing to encourage collateralization of loans and mobilization of savings.
- Prospects for development of insurance given their complementary role in improving the population's income levels, and the promotion of trade and industry.
- Direct services, like Stock-broking, Public offering of securities

Tanzania

- The Capital Markets and Securities.
- Banking and the secondary market sector, which is still at an early stage of development with little activity.

Uganda

- Establishing Commercial banks in upcountry urban and rural centres.
- Development Banks required to provide term loans.
- Merchant banking for advisory services and wholesale banking and underwriting of securities.
- Mortgage financing to encourage collateralization of loans and mobilization of savings.
- Brokerage, sales and tracking services firms with international experience and network.
- Establishing of Investment banks & Fund management.
- Discount houses for making a market and securities thereby developing a secondary market for those securities.
- Provision of re-insurance services to encourage retention of premiums as well as building of capacity in the industry.
- Risk management, Claims Settling Agents and provision of private pension funds.
- Reinsurers and Reinsurance Brokers.
- Provision of life policies and other innovative assurances like agriculture and medical schemes.

CAPITAL MARKETS

In Article 85 of the EAC treaty, the partner states agreed to implement a capital development programme and create an environment conducive to the easy movement of capital within the Community.

Capital Markets are regulated and supervised by state agencies. In Kenya, it is the Capital Markets Authority (CMA), in Tanzania the Capital Markets and Securities Authority (CMSA) and in Uganda the Capital Markets Authority (CMA). In addition to performing regulatory and supervisory functions, the authorities license brokers and investment advisers.

East African Securities Regulatory Authority (EASRA), helps member states develop capital markets institutions, facilitates exchange of information to help enforce laws and regulations in the different countries, besides conducting cross-border surveillance and public education awareness in addition to co-ordinating technical assistance and promoting consultancy within the region.

EDUCATION

Education is a dynamically developing service sector in the region. Opportunities exist in the provision of facilities and training services in primary and secondary schools, polytechnics, technical and tertiary education, and vocational education and training institutions. Private universities are gaining in importance.

HEALTH CARE

Health care in the Partner States comprises hospitals at district, provincial and national levels and health-care centres/dispensaries at lower levels. Similar services are also provided by non-governmental organizations and the private sector.

Investment opportunities include the following: the establishment of hospitals and other health units and modern testing facilities; training of medical personnel in specialized medical care; the manufacture of drugs, hospital equipment and furniture; and the provision of family planning facilities and services.

PRIVATISATION PROGRAMME

All EAC member States are engaged in the privatization of major government corporations. Since 1986, Burundi has adopted a program aimed at opening a new era in prosperity and development. The Interministerial Committee of Privatization (ICP) and the Service Charge des Entreprises Publique (SCEP) (Service in Charge of Public Enterprises), are reforming the public sector so as to create a better environment for private investments.

The privatization programme of the Government of Rwanda was established by Law No.2 on Privatization and Public Investment, dated 11 March 1996. Privatization is one of the key elements in the Government's economic reform and reconstruction efforts and draws on the experience of a number of African countries, recognizing the private sector as the engine of growth.

In Kenya, a Parastatal reform committee was established in 1991 to implement the privatization process. The Department of Government Investments and Public Enterprises (DGIPE) has been established within the Ministry of Finance and charged with specific powers and functions which are designed to render it as autonomous as possible. The DGIPE is responsible for those aspects of the reform programme that are related to parastatals which are to remain in state hands.

The privatization programme of the Government of Rwanda was established by Law No. 2 on Privatization and Public Investment, dated 11 March 1996. The Programme draws on the experience of a number of African countries indicating that the private sector must be the engine of growth.

Tanzania embarked on the privatization of its estimated 400 enterprises through the adoption of the Public Corporations Act 1992, which created the Presidential Parastatal Sector Reform Commission (PSRC). The tasks of the PSRC are now vested to Consolidated Holding Corporation (CHC), a statutory corporation established by Parliament through enactment of the National Bank of Commerce (Reorganization and vesting of Assets and Liabilities) Act No 23 of 1997 National Micro-finance Bank Limited (NMB).

In Uganda, the Public Enterprise Reform and Divestiture Statute was enacted in 1993 to give effect to the Government's policy launched in 1991, which aimed at promoting the role of the private sector and improving the performance of the remaining public enterprises. The Privatisation and Utility Sector Reform Project (PUSRP) was established in 2001 as a follow up project from Enterprise Development Project II (EDP) which ended in 2000. The project development objective is to improve the quality, coverage and economic efficiency of commercial and utility services, through privatisation, private participation in infrastructure (PPI), and an improved regulatory framework.

DIASPORA

The EAC recognizes the need to create a suitable mechanism to encourage the East Africans in Diaspora in order for them to channel resources/remittances towards investment projects in the Partner States. A proposal on the matter is being prepared. This will involve among other initiatives, formulation of incentives to attract financing from the Diaspora in form of tax incentives. There will be need for banks to diversify financial products to attract money from the Diaspora. The 1st East Africa investment Conference stressed the need for the East African Diaspora to be involved in the integration process including value addition programs.

MAJOR INVESTORS IN EAST AFRICA

AGRICULTURE

Altech Biotechnology E.A.Ltd Floor
 Aquarius Systems
 BAT Industries United
 Goldsmith Seeds
 Ibero (Uganda) Ltd
 James Finlay (Kenya) Ltd
 Unilever Tea Kenya Ltd
 Vitacress Kenya Ltd

MINING, OIL AND GAS

Africa Mashariki Goldmines Ltd
 BP
 Canmin Resources Ltd
 Geita Goldmine
 Kahama Mining Corporation Ltd
 Songas Tanzania Ltd
 Total Ltd
 Williamson Diamond Mines
 Tiomin Resources

MANUFACTURING

ABB Electric Company
 Aluminium Africa Ltd
 Atlas Copco Kenya Ltd
 Bata Shoe Company (Kenya) Ltd
 Bayer East Africa
 Bestfoods Kenya Ltd
 CarTrack Kenya Ltd
 Century Bottling Company
 Colgate Palmolive (EA) Ltd
 De la Rue Ltd United Currency
 East African Breweries Ltd
 Eli Lilly (Suisse)
 General Motors East Africa
 Henkel Kenya Ltd
 Kilombero Sugar Company Ltd
 Matsushita Electric Co. (E.A) Ltd
 Mitsubishi Motors
 Nestlé Foods
 Pheonix Logistics Ltd
 Procter and Gamble EA Ltd
 Siemens Ltd
 Tanzania Breweries Ltd
 Tanzania Cigarette
 Tetra Pack

FINANCIAL SERVICES

African Banking Corporation
 Allied Bank International (U) Ltd
 Bank of Malaysia (T)
 Barclays Bank
 Citibank United

Old Mutual Life Assurance
 Stanbic Bank
 Standard Chartered Bank
 Equity Bank
 Kenya Commercial Bank

TOURISM AND TRANSPORT

Abercrombie & Kent Ltd
 ASB Holdings
 Coastal Travels Ltd
 Conservation Corporation
 Tanzania Ltd
 Holiday Inn (T)
 KLM Royal Dutch Airlines
 Lonrho Hotels
 Madhvani Lodge
 Pollmann's Tours
 Private Safaris
 Tourism Promotion Services
 Somak Tours and
 Tan Russ Investment (T) Ltd

BUSINESS SUPPORT

Cargill Kenya Ltd
 Deloitte & Touché
 DHL Worldwide Express
 Ernst & Young East Africa
 KPMG
 Maersk Sealand K Ltd
 PricewaterhouseCoopers
 United Parcel Service (UPS)

INFRASTRUCTURE

Google
 ZAIN
 MIC Tanzania Limited
 MTN (Uganda) Ltd
 Safaricom
 Vodacom Tanzania Ltd

CONSTRUCTION AND OTHER

Eskom Enterprises Africa
 Konoike Construction
 Murray & Roberts

MISCELLANEOUS

ACTIS
 Oxford University Press EA
 SGS Kenya Ltd

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